MOE -DUE DILIGENCE REPORT FROM REGULATED REFINER TO MANAGEMENT

The MoE Due Diligence Regulations for Responsible Sourcing of Gold have been established to ensure responsible global supply chain management of gold. These regulations guide Licensed Members in adopting and maintaining a high level of due diligence to combat money laundering (AML), counter terrorism financing (CFT), avoid contributing to conflict, and prevent human rights abuses. Additionally, the regulations encourage the development of constructive relationships with suppliers to responsibly source gold from conflict-affected and high-risk areas.

The objective of this report is to internally evaluate the compliance of Promise Gold Refinery FZC with the requirements set forth in the MoE Due Diligence Regulations for Responsible Sourcing of Gold during the calendar year 2023. This report is issued by the Compliance Manager based on an internal audit conducted by the compliance team.

TABLE 1. DETAILS OF REPORTING ENTITY

Company Name	Promise Gold Refinery FZC
Location	250 M2 Warehouse T5-073 Sharjah - U.A. E
Contact Details	+971549978254
Reporting Year End	01.Jan.2023 to 31. Dec.2023
Date of Report	27.08.2024
Senior Management Responsible for this report	**Mr. Vipin Raj Selvaraj**
Compliance Officer	**Mr. Mohammad Trahum Nawaz Shami**

TABLE 2. SUMMARY OF ACTIVITIES UNDERTAKEN TO DEMONSTRATE COMPLIANCE

Promise Gold Refinery FZC is committed to creating sustainable value for its clients, investors, employees, society, and other stakeholders by upholding a culture of responsible sourcing. The company adheres to all applicable regulations and strives for excellence in performance, innovation, governance, trust, and respect.

As part of its commitment to ethical business practices, Promise Gold Refinery FZC ensures compliance with UAE Federal Decree-Law No. (20) of 2018 on Anti-Money Laundering, Combating the Financing of Terrorism, and the Financing of Illegal Organizations. The company also follows UAE Due Diligence Regulations for Responsible Sourcing of Gold, OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict-Affected and High-Risk Areas, EBC Rules for Risk-Based Due Diligence in the Gold Supply Chain, and the Ministry of Economy's UAE Due Diligence Regulations for Responsible Sourcing of Gold.

Throughout the calendar year 2023, Promise Gold Refinery FZC has fully complied with all aspects of the MoE's Due Diligence Regulations for Responsible Sourcing of Gold, confirming the company's total compliance with the UAE's regulatory framework for the responsible sourcing of gold during this period.

PROMISE GOLD REFINERY FZC'S EVALUATION

The following tables and statements provide a detailed evaluation of our compliance with each sub-point of Rules 1-5 of the Ministry of Economy Due Diligence Regulations for Responsible Sourcing of Gold.

Step 1: Establishing an Effective Governance Framework

Rule 1.1 Adopt and commit to a policy for gold Supply Chain due diligence Regulated Entities must adopt a documented gold Supply Chain policy that incorporates the risks and risk mitigation measures. The policy and any supporting procedures should include details on the gold Supply Chain Due Diligence which the company will assess itself and the activities and relationships of suppliers. The policy should at least contain the following elements, which are consistent with OECD model Supply Chain policy as listed in Annex II of OECD Guidance.	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
a) Scope **b)** Roles and responsibilities of employees, management and Board of Directors. **c)** Know Your Counterparty (KYC) and Customer Due Diligence measures **d)** Supply Chain risk assessment and risk mitigation process **e)** Ongoing monitoring measures **f)** Independent audit mechanism **g)** Record retention requirements **h)** Training program	**a) Scope:** As an established organization in the gold and precious metals sector, Promise Gold Refinery FZC is committed to responsible sourcing and supply chain management. In line with this commitment, Promise Gold Refinery FZC is required to map its supply chain to identify and assess risks related to conflict, money laundering, terrorism financing, or serious human rights abuses associated with the gold or precious metals they produce, distribute, transport, export, sell, and/or purchase. Promise Gold Refinery is full committed to adhere and operate under the standard and guidance mentioned below: • Adhere to internationally recognized best practices and market standards • Operate in accordance with the following Guidance and Standards: ▪ OECD Due Diligence Guidance for Responsible Supply Chains of Minerals from Conflict Affected and High-Risk Areas and Gold Supplement to the OECD Due Diligence Guidance. ▪ EBC Rules for Risk Based Due Diligence in the Gold Supply Chain ▪ UAE Due Diligence Regulations for Responsible Sourcing of Gold ▪ Federal Decree by Law No. (20) of 2018 on Anti-Money Laundering and Combating the Financing of Terrorism and Illegal Organizations. ▪ Cabinet Decision No. (10) of 2019 Concerning the implementing regulation of decree law no. (20) of 2018 on anti- money laundering and combating the financing of terrorism and illegal organizations. ▪ Federal Decree Law No (26) of 2021 to amend certain provisions of Federal Decree Law No (20) of 2018 on Anti-Money Laundering and Combating the Financing of Terrorism and Illegal Organizations.

	▪ Cabinet Decision No. (58) of 2020 Regulating the Beneficial Owner Procedures. ▪ Cabinet Resolution No (74) of 2020 regarding the Terrorism Lists Regulation and Implementation of UN Security Council Resolutions on the Suppression and Combatting of Terrorism, Terrorist Financing, Countering the Proliferation of Weapons of Mass Destruction and its Financing, and Relevant Resolutions. ▪ Guidelines for Designated Non-Financial Businesses and Professions. ▪ Supplemental Guidance for Dealers in Precious Metals and Stones. Promise Gold Refinery is dedicated to maintaining the highest levels of ethical and moral standards in all our operations. We rigorously adhere to responsible sourcing practices to ensure the integrity of our supply chain. Our Supply Chain Policy, Onboarding and Risk Assessment Policy, and Anti-Money Laundering (AML)/Counter-Terrorism Financing (CFT) Policy clearly outline the company's responsibilities and commitments. These policies are designed to prevent any breaches in our responsible mineral supply chain and ensure full compliance with our AML and CFT obligations. The processes, procedures, and controls specified in these policy documents are mandatory and apply to: • All employees and consultants, regardless of their role or location; • All clients, including suppliers and buyers. By implementing these rigorous standards, Promise Gold Refinery ensures that all stakeholders uphold our commitment to ethical practices and legal compliance across the board. **b) Roles and responsibilities of employees, management and Board of Directors have been clearly drafted** • Our policy clearly outlines specific duties and responsibilities for all personnel, including both Promise Gold Refinery employees and leadership. Every individual is required to exercise due diligence in accordance with management's guidelines. Each employee's job description provides detailed instructions on their assigned roles and responsibilities, which are regularly reviewed by their respective managers and monitored by the compliance department. • The adopted policy and procedures clearly define the obligations, functions, and accountabilities necessary to effectively execute

the due diligence process. Management has explicitly communicated these expectations, ensuring that all employees, regardless of their level, are committed to fulfilling their due diligence duties as directed.

c) Know Your Counterparty (KYC) and Customer Due Diligence measures

Identification, Verification, and KYC Procedures

- Conducting Identification, Verification and Know-Your-Customer (KYC) are fundamental components of our due diligence process. These steps constitute the initial phase of our Procedures and Controls, performed prior to onboarding any potential supplier or customer.
- Promise Gold Refinery meticulously obtains and records competent evidence of the true and full identity of clients, including their Ultimate Beneficiary Owners, domicile, legal capacity, occupation, country of origin of precious metals, public or high-profile positions, business purposes, and other identifying information. This is accomplished using documents detailed in the KYC Checklist and Account Opening Form.
- As part of the KYC process, we conduct comprehensive customer and supplier screening and relative risk assessments. Screening involves verifying that a customer is not listed on official sanctions lists issued by government and law enforcement agencies. Background checks are performed to identify any adverse information concerning an individual's past conduct that may impact their suitability as a customer.
- Following the applicant screening and background information checks, along with a review of the source of funds and expected levels of activity, an initial decision is made regarding the application status. The client may be accepted, rejected, or additional information may be requested.

d) Supply Chain risk assessment and risk mitigation process

In line with our commitment to responsible supply chain management, Promise Gold Refinery has implemented robust processes to identify and assess risks associated with contributing to conflict, money laundering, terrorism financing, or serious human rights abuses related to gold and/or precious metals production, distribution, transportation, export, import, or trade.

We are dedicated to sourcing only from suppliers who adhere to high standards of ethical practice. Promise Gold Refinery fosters and maintains strong relationships with our supply chain partners, built on a foundation of ethics and integrity. Our Supply Chain

	Policy formalizes our commitment to engaging with all our counterparties in a manner consistent with these values. To uphold our ethical sourcing requirements, we regularly raise awareness among our counterparts about our expectations, share applicable regulations and standards, and work closely with our suppliers to obtain comprehensive supply chain information. Our due diligence process includes periodic KYC assessments, ongoing transaction monitoring, and regular training sessions for our suppliers. We also require suppliers to provide self-declarations confirming conflict-free supply. In terms of supplier assessment, we screen all new and existing suppliers on a regular basis using the third-party screening tool provided by myAML.io. Additionally, all customers, suppliers, and their shareholders are subject to daily ongoing screening using relevant internationally recognized databases. Following the screening process, an internal risk review is applied to evaluate the risk rating based on various governance and risk management criteria. **e) Ongoing monitoring measures** Our ongoing monitoring and surveillance process are supported by a robust supply chain management system and AML Review System. This system centralizes information and involves multiple departments in the daily verification of transactions and shipments. To ensure traceability and integrity, unique reference numbers are assigned to all incoming and outgoing gold shipments. This practice facilitates accurate tracking and verification throughout the supply chain. Additionally, periodic internal reviews are conducted to assess and ensure consistent implementation of our policies and procedures. These reviews help verify compliance and identify any areas for improvement, reinforcing our commitment to maintaining high standards in our operations. No shipment from a supplier is accepted until a clearance is obtained from the compliance department. **f) Independent audit mechanism** • An independent internal audit team is established to conduct regular and comprehensive audits of our processes, controls, and adherence to policies. This team operates separately from the day-to-day operations to ensure impartiality and objectivity.

	• The audits cover all critical areas, including transaction verification, supply chain management, risk assessment procedures, and compliance with legal and regulatory requirements. Audits are performed periodically and as needed based on identified risks or changes in regulations.
	• The findings are documented in detailed reports and presented to senior management
	• Senior management is responsible for addressing audit findings and implementing corrective actions.
	
	g) Record Retention Requirements
	• All records related to transactions, due diligence, compliance, and other critical operational aspects must be retained for a minimum of five years from the date of creation or the completion of the related transaction, whichever is late.
	• This retention period applies to, but is not limited to, the following types of records:
	  o Transaction records and supporting documentation
	  o Customer due diligence and Know-Your-Customer (KYC) information
	By adhering to these record retention requirements, Promise Gold Refinery ensures compliance with legal and regulatory obligations and supports transparency and accountability in our operations.
	
	h) Training program
	• Promise Gold Refinery has implemented comprehensive training programs tailored to the specific risk exposure of each staff member involved in the supply chain. These training sessions are designed to equip employees with the knowledge and skills necessary to manage and mitigate risks effectively.
	• Training programs are structured according to the level of risk and exposure each employee faces within the supply chain. The Compliance Officer is responsible for developing and executing the training plan for the reporting period, ensuring that all personnel receive the appropriate training to support the company's commitment to ethical and compliant operations.
	• We have conducted 4 training in the year 2023.

Rule 1.2 Establish management structures to implement Supply Chain Due Diligence Regulated Entities must establish internal governance system to effectively implement and maintain a Supply Chain Due Diligence program on an ongoing basis. The minimum requirements are as follows:	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
1.2.1 The board of directors, or equivalent, should acquire the necessary knowledge and experience, or utilise external expert advisors **1.2.2** Regulated Entities must appoint a compliance officer, who must be a senior person in the organization, reporting directly to the Chief Executive Officer (CEO) (or equivalent) and has access to the board of directors, or equivalent. The compliance officer should be responsible for the overall management of the Supply Chain Due Diligence process, including: **1.2.3** Regulated Entities shall perform a fit & proper test and conduct KYC checks of the compliance officer, and other employees involved in the procurement process, during recruitment and on annual basis **1.2.4** Regulated Entities must develop and implement a training program for all persons involved in the responsible Supply Chain Due Diligence process	**1.2.1** The CEO Mr. Vipin Selvaraj is actively involved in the day to day business operation and always ensures that he is part of all the training sessions, he has been attending conference to gain better understanding from the industry leaders . He along with the compliance officer Mohammad Trahum Nawaz Shami have ensure a practise of sharing important information to the staff about the latest policy and procedures. Mr. Mohammad Trahum Nawaz Shami is constantly monitoring our client's business activities and has been communicating Supply Chain Due Diligence policies and processes to our external stakeholders. Mr. Vipin Raj Selvaraj has printed policy and Procedures along with Red Flags and posted its as posters in the key area such as accounts department and compliance department to ensure that the Red flags are incorporated and identified during the day today business operations. Mr. Vipin has appointed Mr Mohammad Trahum Nawaz Shami as compliance and supply chain officer **1.2.2** We have Appointed Mr Mohammad Trahum Nawaz Shami as compliance officer and supply chain officer Compliance Officer is a senior member of the staff whose duties and responsibilities with respect to the Supply Chain Due Diligence and implementation of the Policy and Procedures are clearly defined. The compliance officer has been working with Promise Gold Refinery since 2023. The Compliance Officer has direct access to all levels of management within Promise Gold Refinery , as well as employees, and suppliers. This authority enables them to effectively carry out their responsibilities related to supply chain due diligence. The Compliance Officer has been given adequate resources and management support to establish and maintain a robust supply chain management system with the use of the following resources and compliance toolkits • Trainings • My.AML.io (Screening tool) • Knowyourcountry Subscription • Other Reference Materials

	1.2.3 Mr. Mohammad Trahum Nawaz Shami is qualified to serve as the Compliance Officer at Promise Gold Refinery . He has successfully undergone the necessary fit and proper tests and conducted Know Your Customer (KYC) checks, demonstrating his competence in compliance matters. The Compliance Officer is familiar with and carries out its role and function in accordance with the requirements of the applicable laws and regulations. The Compliance Officer's roles and responsibilities is clearly defined and includes the following: • Implementing and Supervising Business Policy, Supply Chain Policy, and AML-CFT Policy, which sets out the company's responsibility and process to attain a responsible supply chain and AML -CFT Regulation. • Assisting with the development of policies, procedures, and training plans • Creating sound internal controls and monitoring adherence to them • Customer onboarding and KYC documentation • Counterparty Risk Assignment • Conducting Customer Due Diligence and Enhanced Due Diligence • Conducting Screening of counterparts in myAML.io and screening tools. • Monitoring of suspicious accounts periodically • Monitor compliance activities of all departments to identify different trends • Monitoring day-to-day transactions for any unusual, structured, suspicious, and blacklisted ones • Providing guidance to the Compliance Team on how to identify suspicious activities and transactions • Providing support and advice to other departments in relation to the application of the Supply Chain Due Diligence Program • Reporting SAR and STR in GO AML FIU • Providing training to the entire staff of the organization • Conducting due diligence for each country in the supply chain and understanding the risks associated • Regularly report on the state of the company's compliance effectiveness, identifying areas of risk, recommend solutions, and obtain guidance & support to implement improvements • Monitor compliance activities of all departments to identify different trends • Maintaining records as required by applicable laws and the regulators

	1.2.4 The compliance officer has conducted four training session for the management of Promise Gold Refinery during the year 2023. The training details are as below 1. First training was conducted on the 28.08.2023 the training topic was Suspicious Activity Reporting and Red Flags which was attended by four staff . 2. Second training was conducted on the 22.09.2023 the training topic was Advance AML and CFT Training form DPMS which was attended by four staff. 3. Third training was conducted on the 18.10.2023 the training topic was Responsible Sourcing of Gold from CHRA which was attended by four staff. 4. Fourth training was conducted on the 06.12.2023 the training topic Due Diligence Regulation for Responsible sourcing of Gold which was attended by four staff We have used training Materials issued from OECD and Guidelines Issued by Ministry of Economy and National Risk Assessment

Rule 1.3 Establish a system for transparency, information sharing, and control on gold Supply Chain. Regulated Entities must document the Supply Chain Due Diligence findings and information in a systematic way which ensures visibility on the entire Supply Chain of gold. Regulated Entities should conduct Due Diligence on immediate counterparty in all cases and should extend this till the origin of the gold in case of any risk identified in the supply chain.	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
1.3.1 For natural persons, the name, as in the identification card or travel document, nationality, address, attaching a copy of a valid identification card or travel document, and approval needs to be obtained from the senior management, if the supplier or any of the Beneficial Owner is identified as a PEP. **1.3.2** For legal persons and legal Documents **a)** the name; **b)** legal form; **c)** memorandum of association or equivalent constitutional document **d)** commercial license; **e)** country of incorporation; **f)** countries of operations; **g)** headquarters office address or the principal place of business; and **h)** names of relevant persons holding senior management positions and acting as authorised representatives in the legal person or legal arrangement, including authorisation letters.	**1.3.1** All counterparts are subject to a comprehensive risk assessment process. Based on the identified risks, counterparts are categorized as High, Medium, or Low Risk. This categorization is primarily based on the client's risk profile. We currently have only 3 suppliers who are classified as Medium Risk and they are not supply any Dore Based Gold. The three suppliers that we have are not PEP's nor are they associated to a PEP. However, we have policy and procedure in place to act if we come across any PEP or associated PEP. A synopsis of the same is mentioned below. **Due Diligence for PEPs, Associated PEPs, and SOEs** A rigorous due diligence process is designed to assign the appropriate risk level to any counterpart or stakeholder who may be a Politically Exposed Person (PEP), Associated PEP, or State-Owned Enterprise (SOE).

1.3.3 Regulated Entities are required to verify that any person purporting to act on behalf of the supplier is authorized through official documents such as power of attorneys, and verify the identity of that person as prescribed in section (1.3.1) and (1.3.2) above

1.3.4 Regulated Entities are exempted from identifying and verifying the identity of any shareholder, partner, or the Beneficial Owner, if such information is obtainable from reliable sources where the supplier or the owner holding the controlling interest are a company listed on a regulated stock exchange subject to disclosure requirements through any means that require adequate transparency requirements for the Beneficial Owner or a subsidiary whose majority shares or stocks are held by the shareholders of a holding company.

1.3.5 For gold supplied from ASM, the policy should provide for gathering additional information, including:

a) Identification and verification of the local exporter through documents such as export licenses;

b) mine location and ASM's legal existence and conformity to legal framework (if available) or their willingness to formalize the legal framework;

1.3.6 Regulated Entities shall cease establishing or maintaining a business relationship or executing any transaction should they be unable to undertake CDD measures towards the supplier and should consider reporting such instances to FIU though Suspicious Activity Reports/ Suspicious Transactions Reports.

1.3.7. Regulated Entities shall create and maintain documents inventory related to Supply Chain Due Diligence carried out by the entity which should be accessible for the entity as well as the regulatory on a timely manner. The records inventory shall include, at least:

1.3.8 Regulated Entities should make and receive payments for gold through official banking channels where possible and for unavoidable cash transactions there should be proper verification of origin of cash and should be reported to the FIU where applicable.

1.3.9 Regulated Entities should cooperate fully with regulators and law enforcement agencies in the UAE regarding gold transactions. Regulated Entities should provide access to complete information regarding all shipments and transactions carried out with regard to gold refining.

PEP Risk Classification and Onboarding

Not all PEPs are automatically classified as High Risk. Domestic PEPs from the UAE are generally considered Low Risk. However, PEPs from CAHRA regions and those with adverse media information or proven convictions are classified as Prohibited and will not be onboarded. Their applications will be immediately rejected, and the relevant authorities will be notified.

Enhanced Due Diligence for PEPs

If a PEP is identified during the due diligence process, the following procedures will be implemented:

1. **High-Risk Designation:** The counterpart will be assigned a High-Risk rating.
2. **Enhanced Due Diligence:** A comprehensive compliance report will be prepared and submitted to Senior Management for approval before establishing a business relationship.
3. **Ongoing Monitoring:** Enhanced due diligence will be conducted, and the business relationship will be closely monitored through transaction monitoring.
4. **Screening:** The counterpart and its shareholders will be placed on ongoing screening to identify any potential concerns.
5. **Source of Wealth and Funds:** Reasonable measures will be taken to establish the source of wealth and funds.
6. **PEP Register:** PEP relationships will be tracked in a dedicated PEP Register for reporting and monitoring purposes.
7. **Third-Party Background Checks:** If necessary, third-party background checks may be conducted on the PEP or SOE.

By following these procedures, Promise Gold Refinery ensures that its business relationships are conducted in compliance with relevant regulations and mitigate the risks associated with PEPs and other high-risk counterparts.

1.3.2 Promise Gold Refinery adheres to a strict policy of only conducting business with licensed precious metal traders. We do not engage with individuals in our operations. This policy ensures that our business practices comply with industry regulations and mitigate potential risks associated with unlicensed entities, hence reducing our risk exposure.

Document for supplier

As a part of our onboarding process, each prospective supplier is required to fill our Account Opening Form and a Supply Chain Questionnaire. This form captures

1.3.10 All records, documents, data and information collected as part of Supply Chain Due Diligence of an actual and potential relationships should be kept, preferably, on a computerized database for not less than five years from completion of a transaction or termination of the business relationship with the supplier. The records, documents and data kept shall be organized so as to permit data analysis and tracking of financial transactions. All records, documents, data and information should be immediately available to regulators and law enforcement agencies upon request. **1.3.11** Regulated Entity's policy must include adequate security requirements to ensure compliance with the Regulations in relation to material sourced from LSM or ASM mining entities.	all the relevant information about the supplier's legal and operating structure. This information is further verified with all the legal and ID documentations provided by the suppliers. Using this documents provided by the customer we verify legitimacy using Government endorsed link in the country of incorporation and conduct screening on the stakeholder of the counterparts using screening tool to ensure that there are no Sanction concerns, PEP Concerns and Adverse-media concerns(such as Human Rights, Environmental exploitation , engagement of Child Labour Tax Evasion etc) we ensure to collect information such as if the supplier has relevant licence and approvals to export the metal, Tax payment proof etc. The Documents that we collect from our counterparts are classified in two parts: • Legal Entities Documents • Shareholders Documents • **Legal Entities Documents** The below is the list of documents that we collect to review and Classify the Risk of each entity. o Valid Trade Licence Copy o Latest MOA Copy o Tax Registration Number Certificate o Tenancy Contract o Audited Financials (If Required based on Risk) o AML -CFT Policy of the Counterparty o Proof of GO AML Registration o Account Opening Form o Suppliers Code of Ethics o Gold Declaration Form o PEP Declaration Form o Declaration of Source of Funds o Statement of Conformance of Gold • **Shareholders Documents** o Valid Passport or all the Shareholder o Valid Emirates ID o Valid Visa Copy o Residency Tenancy Contract of all shareholder. o Personal Bank Statement(If needed) **1.3.3** All our supplier is functioning in their own capacity and have not appointed any individual or company to act on their behalf. Hence, we do not fall under this scope. **1.3.4** As none of our suppliers are listed entities in on a regulated stock exchange this is out of scope for us.

1.3.5 As none of our suppliers are supplying us with primary gold , we do not have any LSM-ASM suppliers in our suppliers list. Hence this is not in scope for us. However, we have policy in place we develop any business relationship with ASM who could Supply primary metal.

1.3.6 Dealing with Uncooperative Suppliers

If a client fails to provide adequate cooperation to Promise Gold Refinery in fulfilling its obligations under the Ministry of Economy Responsible Sourcing Due Diligence, the refinery will initiate the process of disengagement.

Identification of Uncooperative Suppliers

- **Compliance Officer's Role:** The Compliance Officer will assess whether a supplier is not cooperating sufficiently or if there are suspicions regarding their activities or transactions.
- **Management Review:** If concerns are identified, the Compliance Officer will submit a management report to Senior Management for review.
- **Disengagement and Reporting:** Based on the findings, Senior Management may decide to disengage with the supplier and report the matter to relevant authorities, such as the Financial Intelligence Unit (FIU).

Uncooperative Supplier Register
The Compliance Officer is responsible for maintaining a register of all Uncooperative Suppliers and suspicious activities or transactions reported to the department. This register will include:

- Date of the report
- Name of the reporting person
- Detailed explanation of the suspicion
- Identifying information for relevant documents

Mandatory Reporting Promise Gold Refinery has established a process for mandatory reporting of Uncooperative Suppliers and suspicious activities or transactions to the FIU through the GO-AML system, the Executive Office for Control and Non-Proliferation (EOCN), and the Executive Office of the EBC.

1.3.7. Promise Gold Refinery has implemented the following key parameters to ensure the integrity and traceability of gold and gold-bearing materials:

1. **Physical Description:** Detailed information regarding the form, type, and physical description of all gold and gold-bearing materials is recorded in our transaction reports.

2. **Proof of Origin:** We don't have any primary metal/ mined gold, however we require official government-issued certificates of origin or equivalent documents, along with invoices and packing lists, to verify the origin of the material, at the moment we only have supply of Secondary /Recycled gold bars. We collect statement of conformance on recycled gold.
3. **Weight and Assay:** We obtain information regarding the weight and assay of gold as provided by the supplier.
4. **KYC Information:** Comprehensive KYC information is collected for suppliers, including identification and verification of entities and ultimate beneficial owners.
5. **Dates of Transactions:** We record the dates of input, output for refining of gold.
6. **Arrival and Assay Details:** The date of arrival at the refinery and the date of assay finalization are recorded. Financial transaction details, including amount, method of payment, currency, and banking information, are also documented accordingly.

1.3.8 Promise Gold Refinery adheres to the following procedures regarding payments for gold:

- **Bank Transfers:** Our suppliers are required to make and receive payments for gold through bank account whenever possible.
- **Cash Transactions:** For cash transactions, strict verification procedures are in place to ensure the legitimacy of the cash source, and if the cash payment are above **AED 55,000/-** we would be entering the details in GOAML along with the transactional details.

1.3.9. Cooperation with Law Enforcement and Customs Officials Promise Gold Refinery is committed to cooperating fully with law enforcement agencies and customs officials regarding transactions involving gold and precious metals. The company will provide all information reasonably requested by relevant officials.
During the reporting period, there have been no requests from law enforcement agencies for cooperation or assistance in investigating the company's transactions or those of its suppliers.

1.3.10 Promise Gold Refinery maintains comprehensive documentation and records related to its Supply Chain Management System for a minimum of five years. This practice aligns with the company's record-keeping policy.

Key Documents and Records:

	• **Analysis Reports:** Detailed analysis reports are maintained for each gold shipment received, including information on the type of gold, shipment reference number, origin, gross and pure weight, and other relevant details. • **KYC Files:** KYC files for clients are maintained and regularly updated. The system generates alerts when documents are nearing expiration. • **Delivery Notes:** Delivery notes are issued for all deliveries, containing details such as the product delivered, weight, and reference number. • **Product Identification:** Final products bear the company logo, weight, purity, and a serial number. • **Sales and Purchase Records:** Sales and purchase transactions are accurately recorded, including payment details. By maintaining these records, Promise Gold Refinery ensures transparency, accountability, and compliance with relevant regulations. **1.3.11** All our supplier is supply us with Secondary /Recycled Gold Bars and Fine gold Bars, we do not have any primary metal sourcing. Hence, we do not fall under this scope

1.4 Strengthen company engagement with gold supplying counterparties. Regulated Entities should build long-term relationships with suppliers and should make their suppliers commit to a Supply Chain policy consistent with the Regulations and Appendix II of the OECD Guidance. This should be achieved by the following:	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
1.4.1 Communicating the expectations of the refiners to the supplier on due diligence for responsible Supply Chains of gold from CAHRA. This should be done by requiring the supplier to commit to refiner's gold Supply Chain policy (as per section 1.1 of the Regulations); or through supplier's own policy. **1.4.2** Sharing the AML/CFT Legislation, the Regulations, OECD Guidance, and Gold Supplement with all suppliers. **1.4.3** Incorporating the Supply Chain policy in line with this Regulations into commercial contracts and/or written agreements with suppliers which will be legally binding. **1.4.4** Supporting suppliers through capacity building measures and information sharing to improve Supply Chain practices of suppliers and other parties in the Supply Chain.	**1.4.1** All our supplier is supply us with Secondary /Recycled Gold Bars and Fine gold Bars, however we are collecting Statement of Conformance and Gold Declaration from our supplier as all our sourcing is from local Market from UAE. We do not have any primary metal sourcing. We don't have any sourcing from CAHRA Regions. Hence, we do not fall under this scope. **1.4.2** Promise Gold Refinery is committed to fostering a culture of responsible business conduct through active engagement and education with our stakeholders. We strive to understand their needs and expectations regarding our business, products, services, and compliance matters, including supply chain practices **Proactive Stakeholder Engagement:**

	• **Regular Communication:** We promote regular communication with our stakeholders to maintain open and transparent relationships. • **Needs Assessment:** We actively seek to understand the needs and concerns of our stakeholders and respond to them in a timely manner. • **Education and Awareness:** We educate our stakeholders on various aspects of our business, products, services, and compliance requirements **1.4.3** Promise Gold Refinery requires that all our supplier is required to acknowledge and sign supplier code of Ethics which is mentioned in the account opening form, with suppliers explicitly incorporate our Supply Chain Policy. This policy outlines our commitment to responsible sourcing, ethical practices, and compliance with relevant regulations. we shall not engage with any suppliers who do not sign this agreement . **1.4.4** Promise Gold Refinery has implemented a comprehensive, ongoing, proactive, and reactive process, managed by the Compliance Department, to ensure ethical and responsible supply chain practices. **Relationship-Based Approach:** • **Strong Partnerships:** We strive to establish and maintain strong relationships with our supply chain partners based on principles of ethics, integrity, and professionalism. • **Commitment to Stakeholders:** Our Supply Chain Statement formalizes our commitment to engaging with all stakeholders and adopting a relationship-based approach. **Supplier Engagement and Support:** • **Information Gathering:** We actively engage with our suppliers to obtain additional supply chain information and support their efforts to achieve ethical and conflict-free sourcing in the precious metals industry.

1.5 Establish a confidential grievance mechanism. Regulated Entities must implement a grievance mechanism through which the employees or other stakeholders in the Supply Chain should be able to raise concerns related to sourcing or trading of gold from a CAHRA.	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
a. employees or other stakeholders are enabled to report any misconduct, or an improper state of affairs or circumstances in a secured way that protects the identity and from criminal and administrative liabilities. **b.** it acts as a warning system in additional to refiner's own system for risk assessments;	Promise Gold Refinery has established a secure and confidential Grievance and compliant Policy mechanism to enable employees and other stakeholders to report any misconduct, improper practices, or concerns related to the business. This mechanism is designed to protect the identity of

c. all relevant parties should know the presence of such mechanism through appropriate communication channels such as policy and newsletters or through websites; **d.** it encourages users to submit such concerns without fear of reprisal; **e.** all submitted concerns be evaluated independently to ensure no undue influence of parties in the entity; **f.** ensure that all submissions should be treated fairly without prejudices and there should be documented procedures to share information on the status to stakeholders in a transparent manner; and **g.** all such submission should be utilized in improving the Supply Chain mechanism and should be utilized in the risk assessment process.	whistle-blowers and shield them from criminal and administrative liabilities. **Key Features and Benefits:** • **Early Warning System:** The Grievance and compliant Policy serves as an additional layer of protection, complementing the refinery's existing risk assessment systems. • **Awareness and Accessibility:** All relevant parties are informed about the existence of the Grievance and compliant Policy through various communication channels, including policies, newsletters, and the company website. • **Protection from Reprisal:** We encourage stakeholders to submit concerns without fear of retaliation or negative consequences. • **Independent Evaluation:** All submitted concerns are evaluated independently to ensure that there is no undue influence from within the organization. • **Fair Treatment and Transparency:** We treat all submissions fairly and without prejudice. There are documented procedures in place to share information on the status of investigations with stakeholders in a transparent manner. • **Continuous Improvement:** All Grievance and compliant Policy submissions are utilized to improve the supply chain mechanism and inform the risk assessment process. No Grievance report received during the reporting period.

Step 2: Identification and Assessment of the Supply Chain Risk

2.1 Conduct Supply Chain Due Diligence to identify potential risks

Regulated Entities must identify and assess the risks in the Supply Chain to carry out required due diligence. Due diligence must be undertaken before entering a new business relationship with a supplier and should be carried out on an ongoing basis. Conducting risk assessment will help to tailor the due diligence according to the risks identified. Where high risk Supply Chain is identified, enhanced due diligence measures should be taken in order to mitigate the risks. Regulated Entities should use the management system put in place under Step 1 of the Regulations in order to effectively identify and assess risks through their Supply Chain.

If a Regulated Entity can reasonably determine on the basis of the information collected under Step 1 of the Regulations that it does not deal in gold mined, transported or traded in a CAHRA, no additional due diligence is required. The management systems established under Step 1 should be maintained and regularly reviewed. However, Regulated Entities should ensure that the applicable AML/CFT measures in line with AML/CFT Legislation and other Applicable Laws and Regulations are complied with which are applicable to Regulated Entities being DNFBPs.

Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
2.1.1 Counterparty Risk Factors **a.** KYC information of the Regulated Entity's suppliers as identified under Step 1 of the Regulations (including information about the origin and transportation of the gold). **b.** Identified Red Flags **c.** Number of participants in the Supply Chain. **d.** Extent and effectiveness of due diligence practices of a counterparty **e.** Counterparty's conformance with OECD Guidance while engaging in sourcing of gold **f.** Whether a counterparty's due diligence practices have been audited by a qualified third-party auditor in line with applicable responsible sourcing mechanism **g.** Length of establishment of supplier or other counterparties in the Supply Chain **h.** Complexity in the ownership structure of the counterparties such as presence multiple layers of ownership and involvement of trust and similar vehicles apparently for purpose of anonymity. **i.** Size of mining operations of a supplier (ASM or LSM), if applicable **j.** Involvement of any PEPs that have been entrusted with prominent public functions or individuals who are closely related to such individuals. **k.** Adverse media/Sanctions listing findings through the screening the suppliers and other actors in the supply chain.	Promise Gold Refinery has developed and refined robust risk assessment methodologies that adhere to the MOE-UAE Due Diligence Regulations for Responsible Sourcing of Gold, the EBC Rules for RBDG, and the OECD Guidelines. Our risk assessment process allows us to consistently classify suppliers' risk levels and respond appropriately. • **Customer Due Diligence and Ongoing Monitoring:** • **Pre-Account Opening:** Customer due diligence and risk assessment begin before an account is opened. • **Continuous Monitoring:** Risk assessment is continuously monitored on a per-shipment and per-transaction basis. • **Data Collection:** KYC documents, country information, research, and transaction/shipment history are collected and recorded to inform the risk assessment process. **Risk Assessment Methodology:** Our risk assessment methodology is designed to identify red flags based on location, supplier, and circumstances: • **Location-Based Red Flags:** We assess the location of the source of metals, routes, and mode of transportation used. • **Supplier-Based Red Flags:** We evaluate the supplier and other participants in the supply chain for potential red flags. • **Circumstances-Based Red Flags**: We analyse any unusual transactions or inconsistencies in documentation.

	Risk Measurement, Assessment, and Management: • **Account Requirement:** No shipments are accepted from suppliers without active accounts. • **Beneficial Owner Disclosure:** Suppliers must disclose their beneficial owners. • **KYC Document Submission:** Prospective customers must submit all requested KYC documents and information. • **Geographical Risk Assessment:** We conduct a geographical risk assessment based on the client's business country, beneficial owner's nationality, and country of source of metals. • **Sanction List Checks:** We screen the client's beneficial owners and registered business name against sanction lists using MyAML.Io • **PEP Due Diligence:** If the counterparty is identified as a PEP, we conduct enhanced due diligence to verify the source of funds and business intent. • **Compliance Review Report:** The Compliance Officer presents a Compliance Review Report to Senior Management for decision-making.
2.1.2 Geographical Risk Factors Regulated Entities should be able to identify the location and origin of the gold sourced by them using reasonable efforts. Different origins have different risks and require different treatments. Identification of gold origin should be evidence based and collected through suppliers and entity's own research.	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
Location-based risk identification should be carried out using reasonable efforts and recognized sources of information. At a minimum, following risk factors should be utilized for risk identification. **a.** The AML/CFT and other regulatory environment in the supplier's jurisdiction or location which is part of Supply Chain. **b.** Level of conflicts or human rights abuses in any location comprising part of the Supply Chain through reliable resources. **c.** Level of involvement of wide spread bribery and corruption through reliable resources. **d.** The level of involvement or potential involvement of any criminal organization. **e.** The level of access from a location comprising part of the Supply Chain to nearby markets or processing operations that are termed as CAHRA. **f.** The level of enforcement of laws addressing significant criminal activity. **g.** Payment mechanism used (e.g. formal banking system vs. non-banking system). **h.** The existence of international sanctions and/or embargoes that have been directed against the country and/or individuals/entities in that country	Promise Gold Refinery conducts location-based risk identification using reasonable efforts and recognized sources of information. We consider the following risk factors: • **Regulatory Environment:** The AML/CFT and other regulatory environments in the supplier's jurisdiction or location are assessed since all our suppliers are based in UAE and are supplying us with Secondary metals which were sourced in United Arab Emirates we have taken the regulatory requirements in UAE as our principal country of regulatory requirements. • **Conflicts and Human Rights:** We evaluate the level of conflicts or human rights abuses in any location within our supply chain, relying on reliable resources. since all our suppliers are based in UAE and are supplying us with Secondary metals which were sourced in United Arab Emirates we have taken the Conflict Barometer scales in UAE.

by UN Security Council and/or UAE from time to time. **i.** Involvement of countries identified as CAHRA.	• **Corruption and Bribery:** We assess the level of bribery and corruption in relevant locations, utilizing reliable sources. • **Criminal Organizations:** We identify any potential involvement of criminal organizations in our supply chain. • **Access to CAHRA Markets:** Since all our suppliers are based in UAE and are supplying us with Secondary metals which were sourced in United Arab Emirates there is a minimal risk of access to gold sourced out of CAHRA Regions . • **Law Enforcement:** We evaluate the level of law enforcement effectiveness in addressing significant criminal activity. • **Payment Mechanisms:** We consider the payment mechanisms used, such as formal banking systems versus non-banking systems. • **International Sanctions:** We identify any existing international sanctions or embargoes imposed on countries or entities who are involved in our supply chain as our suppliers by the UN Security Council and the UAE. We conduct screening of our suppliers on an ongoing bases in MyAML.io to ensure we do not have any sanction or TFS concerns in our supply chain. We evaluate geographical risk based on the client's business country of establishment, beneficial owners' nationality, and country of source of precious metals. The Client Risk Matrix is used to calculate risk scores, considering factors such as country of origin, business location, and beneficial owner's nationality. We use Know Your Country methodologies to evaluate risk, considering factors such as criminal markets, human smuggling, drug trade, government transparency, and territorial integrity. We conduct thorough due diligence on all suppliers, including: • Business history and profile • Organizational structure • Management structure and beneficial owners • Supplier's supplier profile • Origin of precious metals • Destination of precious metals • Client due diligence program • Information collected from suppliers • Due diligence performed by suppliers • Management system, governance, and internal controls • Adherence to OECD Due Diligence • Guidance and industry standards

	We are committed to maintaining the highest standards of due diligence and risk management. We believe that our comprehensive approach ensures the integrity of our operations and protects our customers and stakeholders.

2.1.3 Transactions Risk Factors

Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
a. Inconsistency of transaction with the local or market practices (amount, quality, potential profit, etc.). **b.** Inconsistency of volumes, types and concentrations of material compared with previous shipments with the same client. **c.** Use of excessive cash in transactions. **d.** Attempted structuring of transactions to make payments to avoid government thresholds. **e.** Identified risks and severability and probability of adverse impacts of the applicable transaction. **f.** Gold that are transported which are not reasonably reconciled with the declared location of the origin **g.** Unexplained geographic distance in the Supply Chain.	We rigorously monitor and assess our transactions for potential inconsistencies or anomalies that may indicate fraudulent or illicit activities. Specific areas of focus include We carefully examine the consistency of transaction amounts, quality of the metal that is been delivered to us by our suppliers. We compare the volumes, types, and concentrations of materials in current shipments to those of previous shipments with the same supplier to identifying any significant deviations if there is any we have a variance threshold of .05 per kilo, if the variance is more than the threshold then we would stop the processing and contact the supplier and inform them of the variance and then proceed if they are ok to proceed We minimize the use of cash in transactions and prefer Bank payments to enhance transparency and traceability. If the suppliers prefer mode of payment is in cash we comply with their request and facilitate cash payments, however We comply with all applicable laws and regulations regarding cash transactions where we would be reporting the same in GO AML if the cash transactions are AED 55,000/- or above. We have strict policy is place to help our staff to detect and avoid payments that are structured transactions to avoid government thresholds, if any such attempts are made by the suppliers, we would be reporting the same in FIU Portal. All transactions are conducted in a manner that is compliant with applicable laws and regulations. However, we have not come across any such attempt from our supplier. We have documented policy in place to take appropriate measures to mitigate identified risks and ensure the integrity of our operations are not compromised. All our supply to our gold refinery is sourced locally from the UAE Market and are not primary metals we have no international sourcing, we verify the origin of all gold we handle and ensure that it is reasonably reconciled with the declared location which is UAE.

	We maintain documentation to support the chain of custody for all gold. We conduct our internal due diligence-based guidelines issued by the Ministry of Economy on our suppliers and partners to ensure compliance with the standards and regulations issued, Our Refinery is dedicated to maintaining the highest standards of integrity, transparency, and compliance in its operations. We are committed to continuous improvement and will actively seek to enhance our adherence to these principles.
2.1.4 Product Risk Factors:	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
a. The nature of the gold supplied such as, ASM or LSM gold, gold by-product, melted recyclable gold and unprocessed recyclable gold. The risk may vary from product to product. **b.** Level of concentration of gold in the supplied gold.	Promise Gold Refinery hereby declares its product risk classification and sourcing practices: **1. Product Risk Classification:** • **Low Risk:** Fine Gold • **Medium Risk:** Recyclable/Scrap Gold Bars • **High Risk:** Primary/Mined Gold **2. Sourcing:** Our sourcing exclusively consists of Scrap Gold Bars and Fine Gold. All of our gold is sourced locally within the United Arab Emirates. **3. Primary Sourcing:** We do not have any supplier who are sourcing us with primary/mined gold, such as ASM (Artisanal Small-Scale Mining) or LSM (Large-Scale Mining) supplied gold bars. By adhering to this classification and sourcing policy, Promise Gold Refinery ensures that our operations are focused on lower-risk products and contribute to responsible sourcing practices.
2.1.5 Delivery Channel Risk Factors:	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
a. Physical delivery of gold to unrelated third parties which is not consistent with normal business practices. **b.** Courier/transport related risk factors including physical security practices such as sealed security boxes for shipment in which the tampering or removal of content during transport is likely. **c.** Extent of reliability and KYC information of third-party transportation companies validated through accepted standards	**Promise Gold Refinery** hereby declares that our delivery channel does not involve any third-party service providers. We have implemented a rigorous authorization process to ensure the security and integrity of our delivery operations. **1. Authorized Staff Members:** • We have collected a comprehensive list of authorized staff members who are responsible for handling gold deliveries and collections.

	• The Emirates ID of each authorized staff member has been verified at the time of account opening from our suppliers. **2. Direct Delivery and Collection:** • We only deliver and collect gold to authorized personnel who are specifically assigned by our customers. • No unauthorized individuals are allowed to handle or receive gold from our refinery. **3. Identification Verification:** • Authorized personnel are required to present their Emirates ID at the time of delivery and collection of the metal from our refinery. • This verification ensures that only authorized individuals are involved in the transaction. **Promise Gold Refinery** is committed to maintaining the highest standards of security and accountability in our delivery operations. By adhering to these procedures, we safeguard the integrity of our gold transactions and protect the interests of our customers.

2.2 Identify Red Flags/ High Risk Indicators in the gold Supply Chain Based on the information on origin of gold as stipulated in Section 2.1, and information generated through Step 1, Regulated Entities should identify the potential red flags in a Supply Chain of gold. Red flags can be broadly categorized as below:	
Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
2.2.1 Location Based Red Flags **a.** The gold originates from, or has been transported through, a CAHRA or countries subject to international sanctions. **b.** The gold originates from a country known to have limited discovered reserves and expected production levels. **c.** The gold originates from a country through which gold from CAHRAs is known or reasonably suspected to transit. **d.** The gold is claimed to originate from recyclable/scrap or mixed sources and has been refined in a country where gold from CAHRAs is known or reasonably suspected to transit. **e.** The gold originated or transported through countries known to have weak oversight of Money Laundering, corruption, bribery, presence of informal banking systems, and known cash intensiveness in the economy. **2.2.2 Supplier Red Flags** **a.** Suppliers or other known upstream entities operate in one of the red flag locations, referred to in 2.2.1, of gold origin and transit, or have shareholder or other interests in suppliers of gold	**2.2.1** Our refinery's sourcing is 100% from within United Arab Emirates, all our suppliers are based Locally and the metal they supply us are Secondary Scrap Metal and Fine Gold Locally Sourced. Since we do not have any primary/Mined gold sourcing, or International Sourcing We do not have any exposure to any CAHRA or CAHRA Associated Sourcing, however we conduct our due diligence to from our end also to ensure that the metal that we are sourcing are not from any CAHRA Regions. We employ a comprehensive risk-based approach to calculate risk levels for suppliers, allowing us to respond adequately to potential threats. Client due diligence and risk assessment are conducted for all new and existing customers, both before account opening and, on a transaction,-by-transaction basis. We gather and record relevant KYC documents, country information, research, and transaction /shipment history to assess risk levels. Our risk assessment process incorporates multiple factors, including geographical risk, client risk matrix, and Know Your Country methodologies. We evaluate geographical risk based on the client's business country of establishment, beneficial owners' nationality, and country of source of precious metals.

from one of the red flag locations of gold origin and transit, referred to in 2.2.1. **b.** Suppliers or other known upstream entities are known to have sourced gold from a red flag location of gold origin and transit in the last 12 months. **c.** Discrepant or inconsistent KYC information obtained through Identification and verification process of suppliers or refused to provide requested documentation. **d.** Supplier or Beneficial Owners are listed in any government lists for Money Laundering, fraud or terrorism or that are listed under international sanctions regulations. **e.** Supplier does not have policies and practices related to ethics, integrity, and combatting Money Laundering, bribery, and corruption. **f.** Lack of effective assessment of supplier's counterparties risk assessment framework to identify risks in the upstream Supply Chains. **Refiners with ASM gold should also consider the following aspects while identifying and assessing risk.** **a.** Suppliers of ASM gold sources, gold ore processing plant, traders and local exporters. **b.** Whether the mining project can be considered legitimate ASM (i.e., legally registered, cooperative-based and/or government-recognized, or central bank supported initiative). **c.** Whether the mining practice is subject to standards and best practices. **d.** Whether the ASM gold source consider ethical and environmental elements while handling and processing gold.	The Client Risk Matrix is used to calculate risk scores, considering factors such as country of origin, business location, and beneficial owner's nationality. **2.2.2** The we take a declaration our suppliers on the Gold recyclable/scrap that we are receiving from our suppliers that the metal that is been supplied to us is not refined /sourced from any CHARA and High-Risk Countries. We define a supplier-based red flag as any risk associated with a supplier or other participant in the gold supply chain that could potentially lead to a location-based red flag. Our risk assessment process focuses on identifying and evaluating supplier-based red flags, including but not limited to: • **Supplier's Operating Location:** If the supplier operates in a location that is considered high-risk or conflict-affected, this could raise red flags. • **Business Relationships:** Any business relationships or connections that the supplier has with individuals or entities in high-risk regions or with known illicit activities can be considered red flags. • **Financial Transactions:** Unusual or suspicious financial transactions involving the supplier, such as structuring payments to avoid government thresholds or engaging in illicit activities, can indicate potential risks. • **Regulatory Violations:** If the supplier has a history of regulatory violations or non-compliance with relevant laws and regulations, it can be a red flag. • **Adverse Media Information:** Any negative media reports or allegations related to the supplier, such as involvement in illicit activities, human rights abuses, or corruption, can be considered red flags. **Risk Mitigation:** When a supplier-based red flag is identified, we take appropriate measures to mitigate the associated risks. This include: • **Enhanced Due Diligence:** Conducting more in-depth investigations and collecting additional information to assess the nature and extent of the risk. • **Additional Controls:** Implementing additional controls or safeguards to mitigate the identified risk. • **Suspension of Business:** In severe cases, we may temporarily suspend business activities with the supplier until the risk is adequately addressed. We are committed to maintaining a robust risk management framework that includes the identification and mitigation of supplier-based red flags. By proactively addressing these risks, we contribute to the integrity and sustainability of our gold supply chain

2.3 Undertake Enhanced Due Diligence Measures for High-Risk Supply Chains

If there are high-risk elements or red flags identified in the Supply Chain or unknown information, Regulated Entities should conduct EDD measures prior to engaging with such suppliers.

If the Regulated Entity can reasonably determine that there are no high-risk elements or red flags as assessed through Step 2.2 in that Supply Chain, no additional due diligence is required for that Supply Chain. The management systems established under Step 1 should be continued and reviewed on an ongoing basis.

EDD consists of site visits, desk-based reviews, and reviewing of sample transactions of suppliers on an ongoing basis. EDD for high-risk relationships should be carried out during the establishment of relationship and on an ongoing basis (at least on bi-annual basis).

Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
2.3.1 Conduct onsite visits to gold suppliers individually or through joint on-the-ground assessment teams or an industry mechanism using competent, suitably qualified, knowledgeable, and independent assessors, to generate and maintain information on the circumstances and processes of the supplier's activities. Regulated Entities can establish such teams independently or jointly with other entities in the upstream Supply Chain. Onsite inspections should be aimed at substantiating the documented KYC information. Irrespective of whether the onsite visit was conducted by way of an assessment team or independently by the Regulated Entity, the factors in 2.3.2 and 2.3.3 must be considered during the onsite visit. The responsibility remains with the Regulated Entity irrespective of whether the on-site carried independently or jointly. **2.3.2 Determine if the Mined Gold is LSM Gold or ASM Gold.** **2.3.3 Gather information/document such as, without limitation:** **a.** Identification and verification of each entity in the Supply Chain through operating licenses or similar document; **b.** identification and verification of the ownership of each entity (direct or indirect ownership up to 25% and above) and connected parties (board of directors and senior management); **c.** identifying the mines of origin, the transportation routes, and points where gold is traded; **d.** for ASM, identify whether the mine is involved in a legitimate ASM; **e.** details of Beneficial Owners and controllers of ASM; **f.** the methods of gold processing and transportation; **g.** identification of the related businesses (subsidiaries, parents, and affiliates); **h.** verification of the identity of the entities using reliable, independent source documents, data or information (e.g. business registers, extract, certificate of incorporation); **i.** identification of any nexus with the government, political parties, military, criminal networks, or	**2.3.1** We have three suppliers who are engaged in Supply us with scrap bars and Fine gold bars for refining and form change. All our suppliers are based in United Arab Emirates who source their metal locally from UAE. **1. Supplier Base:** • We have three suppliers who supply us with scrap bars and fine gold bars for refining and form change. • All of our suppliers are based in the United Arab Emirates and source their metal locally. **2. On-Site Visits:** • As part of our due diligence process, we have conducted on-site visits to all of our suppliers. • Our compliance officer and sales team have visited the offices of our suppliers and conducted interviews with their officials. • We have taken photos of the suppliers' offices during these visits. **3. Limited Scope of Due Diligence:** • Due to our lack of primary gold sourcing or sourcing from CAHRA regions and high-risk countries, we have not engaged independent assessors for on-site visits. **4. Due Diligence Measures:** • Despite not having independent assessors, we have implemented other due diligence measures to ensure the integrity of our supply chain. These will include: o Verifying supplier documentation and credentials o Conducting background checks on key personnel o Assessing the supplier's business practices and compliance with relevant regulations o Monitoring supplier performance and transactions **2.3.2** Since we do not have any mined gold sourcing as part of our supply chain hence we believe this is out od scope for us.

non-state armed groups through screening or publicly available data and research; **j.** evidence of any serious abuses committed by any party in mines, transportation routes and points where gold is traded and/or processed through the public domain findings or through screening process; **k.** information on any direct or indirect support to non-state armed groups or public or private security; and **l.** screening the entity name, ownership including ultimate Beneficial Owners and connected parties through government watch lists for finding any sanction listings or adverse media (at a minimum United Nations sanction lists and the UAE local terrorist list should be utilized); **m.** current production and capacity of mine(s), a comparative analysis of mine capacity against recorded mine production if possible, and record any discrepancies; **n.** current processing production and processing capacity of mine smelt house(s), and a comparative analysis of processing capacity against recorded processing production if possible, and record of any discrepancies; **o.** documents related to payments to government or other regulatory agencies related royalties, taxes or fees. **p.** all payments made to public or private security forces or other armed groups at all points in the Supply Chain from extraction onwards, unless prohibited under applicable law; **q.** militarization of mine sites, transportation routes, and points where gold is traded and exported; **r.** KYC information of the gold exporter and all actors in the Supply Chain, including international gold traders and all third-party service providers handling the gold (e.g. logistics, processors and transportation entities) or providing security at mine sites and along transportation routes. KYC should consist of the below; and **s.** verification of sample documents related to transactions carried out by the supplier.	**2.3.3 Promise Gold Refinery FZC** is committed to a responsible and transparent supply chain for precious metals. We have implemented a comprehensive policy and procedure framework to ensure compliance with relevant regulations and industry standards. **Key Components:** • **Publicly Available Policy:** Our Supply Chain Policy is publicly available on our website https://promisegoldrefinery.com/our-policies/ and shared with existing and potential clients. • **Client Onboarding:** During onboarding, we discuss our policy and procedures, clearly communicating our expectations regarding responsible sourcing. Clients must confirm their compliance with our policy. • **Due Diligence:** o We apply the OECD and Ministry of Economy Due Diligence Guidance for Responsible Supply Chains of Minerals. o KYC (Know Your Customer) procedures are conducted on all clients, ensuring compliance with AML-CFT (Anti-Money Laundering and Counter-Terrorist Financing) laws. o This includes identifying, verifying, and conducting background checks on clients and their ultimate beneficial owners (UBOs). • **KYC Procedures:** o We obtain and record competent evidence of the true and full identity of clients, ultimate beneficial owners (UBOs), domicile, legal capacity, occupation, country of origin of precious metals, public or high-profile position, and business purposes. o This information is collected using documents detailed in our KYC Checklist and Account Opening Form. • **Screening and Risk Assessment:** o We conduct thorough screening of customers and suppliers to ensure they are not listed on official sanctions lists issued by government and law enforcement agencies. o Background checks are performed to identify any adverse information about an individual's past conduct that may affect their suitability as a customer.

	• **Initial Decision:**
	  o Following applicant screening, background checks, and review of source of funds and expected activity levels, we make an initial decision regarding the application status: acceptance, rejection, or request for more information.
	KYC as a Key Step:
	  o Identification, verification, and KYC form the first key step in our procedures and controls, conducted prior to onboarding any client.
	
	• **Risk Management:**
	  o Senior management oversees the development, review, and approval of responsible sourcing guidelines.
	  o Our compliance officer ensures the policy's implementation.
	  o We identify and communicate supply chain and transaction risks to senior management, who make final decisions on risk acceptance and mitigation strategies. This risk management plan is actively monitored and updated with new information.
	• **Monitoring and Surveillance:**
	  o We have a strong supply chain management system with centralized information and multiple departments involved in daily transaction and shipment verification.
	  o Unique reference numbers track incoming and outgoing shipments.
	  o We use a track-to-track traceability method to match finished products with their source materials.
	  o Regular internal audits and independent third-party assessments ensure policy and procedure adherence and control effectiveness.
	
	• **Employee Training:**
	  o We provide regular training sessions for staff involved in the precious metals supply chain and management.
	
	• **Policy Review and Updates:**
	  o Our policies and procedures are reviewed and updated annually to reflect legislative changes, industry best practices, and continuous improvement efforts

Step 3: Management of the Supply Chain Risk

Regulated Entities should evaluate and respond to identified risks through EDD in order to mitigate the identified risks. The following steps are minimum expected in order to mitigate the risks identified. Regulated Entities are encouraged to consider the potential social and economic impacts of risk mitigation measures adopted by them. A risk management plan should be subject to continuous review based on changes in circumstances related to business, operations or supply base, risk nature, or a major change in applicable rules and regulations.

3.1 Devise a risk management strategy for the identified risk

Regulated Entities should adopt risk appetite approach which should establish the methods of risk treatment as below. Risk appetite policy should be part of the overall Supply Chain risk policy.

Compliance Statement	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
a. Establish or continue: Based on the documents and information gathered through EDD (Step 2.3), Regulated Entities may establish or continue existing relationships if it assesses that the supplier is managing the risks to a reasonable extent. This should be subject to remedial actions for improvement of supplier's due diligence program in agreement with the Regulated Entity. The Regulated Entity should measure the improvement through quantitative/qualitative analysis. The plan should be approved by senior management and Compliance officer. Regulated Entity should seek significant improvement within 6 months of adoption of the plan. After failed attempts of risk mitigation, in conformity with the recommended risk management plan, Regulated Entities should suspend or terminate the relationship. **b. Suspend**: If EDD concludes that there is a founded suspicion of Money Laundering, Terrorist Financing, human rights abuses, environmental degradation direct or indirect support to illegitimate non-state armed groups, fraudulent misrepresentation of origin of goods, the Regulated Entity should suspend engagement with such supply chain till risk mitigation measures are adequately completed . **c. Terminate**: Upon identifying instances of Money Laundering and Terrorist financing, human rights abuse and support to armed conflicts, Regulated Entities should immediately terminate its relationship with the supplier. During such instances, the Regulated Entity should submit an appropriate report to the FIU.	We have commenced our operation and have began onboarding our counterparts only since July 2023, we had only business relationship with three counterparts during the year 2023, all of the suppliers were onboarded after a through due diligence process we only onboard customer after we have collected all the KYC documents related to the legal entity and shareholders. We identity the line of business that our counterparts are involved, our policy clearly states that we only conduct business entity who are involved in precious metal trading we do not engage in business relationship with individuals. The Documents that we collect from our counterparts are classified in two parts: • **Legal Entities Documents** • **Shareholders Documents** • **Legal Entities Documents** The below is the list of documents that we collect to review and Classify the Risk of each entity. o Valid Trade Licence Copy o Latest MOA Copy o Tax Registration Number Certificate o Tenancy Contract o Audited Financials (If Required based on Risk) o AML -CFT Policy of the Counterparty o Proof of GO AML Registration o Account Opening Form o Suppliers Code of Ethics o Gold Declaration Form o PEP Declaration Form o Declaration of Source of Funds o Statement of Conformance of Gold

- **Shareholders Documents**
  - Valid Passport or all the Shareholder
  - Valid Emirates ID
  - Valid Visa Copy
  - Residency Tenancy Contract of all shareholder.
  - Personal Bank Statement(If needed)

We have classified risk into four categories for suppliers , we conduct SDD and EDD based on the risk assigned our counterparts, Re KYC and Ongoing Monitoring of these suppliers are also done based on this classification

Our Risk assessment methodology has been developed taking into consideration the geographical, counterparty, and transactional risk. The risk associated with the supply chain and transactions are continuously communicated to the Senior Management, which takes the final decision on whether to accept or reject the risk.

- **Low Risk Counterparts**
- **Medium Risk Counterparts**
- **High Risk Counterparts**

- **Low Risk Counterparts**

We conduct Standard Due Diligence on these counterparts, where we only review the documents provided by these customers, we conduct Re-Review of KYC on these customers on an annual base and we conduct monitoring of transaction only on high volume transactions. All customers are subjected to Ongoing Screening review on My AML.Io to identify if there are potential risk associated with these customers in future in regards to Sancation concerns or any adverse media concerns. KYC is also collected on an annual Bases, we conduct site visit on All counterparts

- **Medium Risk Counterparts**

We conduct Standard Due Diligence on these counterparts, where we only review the documents provided by these customers, we conduct Re-Review of KYC on these customers on an annual base and we conduct monitoring of transaction on high volume transactions and if there are any unusual spike in the number of transactions All customers are subjected to Ongoing Screening review on My AML.Io to identify if there are potential risk associated with these customers in future in regards to Sancation concerns or any adverse media concerns. KYC is also collected on an annual Bases. we conduct site visit on All counterparts

	• **High Risk Counterparts** We conduct Enhanced Due Diligence on these counterparts, where we not only review the documents provided by these customers but also independently verify these documents , we conduct Re-Review of KYC on these customers on an bi annual base and we conduct monitoring of transaction on high volume transactions and if there are any unusual spike, however we also subject these customer to transactional review based on the random sample method in the number of transactions All customers are subjected to Ongoing Screening review on My AML.Io to identify if there are potential risk associated with these customers in future in regards to Sancation concerns or any adverse media concerns. KYC is also collected on an annual Bases. we conduct site visit on All counterparts **Risk Mitigation:** When a any major risk is identified, we take appropriate measures to mitigate the associated risks. This include: • **Enhanced Due Diligence:** Conducting more in-depth investigations and collecting additional information to assess the nature and extent of the risk. • **Additional Controls:** Implementing additional controls or safeguards to mitigate the identified risk. • **Suspension of Business:** In severe cases, we may temporarily suspend business activities with the supplier until the risk is adequately addressee. • **Termination of Business :** In worst cases scenario , we will business relation with the supplier and report the supplier to the regulatory authority . ***However, all our three suppliers are classified as Medium Risk Suppliers, and since they have completed one year of onboarding we have not done Re-Review of KYC , we have not noted any high-risk transactions also all the suppliers and shareholder are found to be clean in our screening tool no potential and true matches have been found against any of our suppliers.*** Our Refinery i committed to responsible sourcing and risk management. Our approach ensures that we maintain relationships with suppliers who demonstrate a commitment to improving their due diligence practices and mitigating risks.

3.2 Risk Control Plan Regulated Entities that adopt an 'Establish/Continue' or 'Suspend' approach, shall adopt a Risk Control Plan which should include, at minimum:	
COMPLIANCE STATEMENT	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
a. reporting mechanisms for identified risks to the senior management; **b.** enhanced engagement with suppliers through establishing a Chain of Custody and/or traceability system where a red flag has been identified; **c.** enhancement of the physical security practices; **d.** physical segregation and security of shipments where a red flag has been identified; **e.** an agreement with the supplier which facilitates timely and accurate provision of additional information related to supply chain with identified risks. **f.** disengaging with suppliers for at least 3 months, when they fail to comply with the mitigating controls within a period of 6 months, and/or disengaging entirely if such controls are not feasible and/or unacceptable in light of the cost-benefit analysis and the capabilities of the Regulated Entities conducting the due diligence; **g.** reviewing on a regular basis the results of the mitigation measures, undertaking additional fact & risk assessments for identified risks requiring mitigation or after a change of circumstances.	**Promise Gold Refinery** recognizes the inherent risks in the precious metals industry and is committed to a proactive and reactive approach to risk mitigation. All suppliers are required to open an account with us before doing any transaction. Account Opening procedure requires the submission of all relevant documents and information that are required to perform the necessary due diligence. **Risk Assessment and Relationship Management:** • Based on the documents and information gathered through enhanced due diligence (EDD), we assess the supplier's ability to manage risks to a reasonable extent. • If necessary, we establish or continue existing relationships subject to remedial actions for improving the supplier's due diligence program. • All shipments are physically segregated until the Quality Check Officer passes the shipment and the Compliance Officer verifies all the information related to shipment and signs off the Transaction Monitoring – Compliance Approval Form. **Risk Mitigation Plan:** • We develop a risk mitigation plan in agreement with the supplier, outlining specific actions to improve their due diligence program. • This plan is approved by senior management and the compliance officer. • We measure the improvement through quantitative and qualitative analysis. **Timeframe for Improvement:** • We strive for significant improvement within six months of adopting the risk mitigation plan. • If the supplier fails to mitigate risks in accordance with the plan, we may suspend or terminate the relationship. Promise Gold Refinery is committed to responsible sourcing and risk management. Our approach ensures that we maintain relationships with suppliers who demonstrate a commitment to improving their due diligence practices and mitigating risks.

3.3 Continuous Monitoring	
COMPLIANCE STATEMENT	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
Supply Chain Due Diligence is a dynamic process and requires ongoing risk monitoring. After implementing a Risk Control Plan, Regulated Entities should assess if Step 2 should be repeated or, any further enhanced measures are required. Any changes in the Supply Chain may require the Regulated Entity to repeat some due diligence steps to ensure effective monitoring of risk.	We recognize that supply chain due diligence is an ongoing process that requires continuous risk monitoring. After implementing a Risk Control Plan, we reassess the need for further steps or enhanced measures as necessary. We understand that changes in the supply chain may require repeating certain due diligence steps to ensure effective risk monitoring. The annual review process evaluates the legislative developments pertaining to supply chain, Anti-Money laundering, and counter-terrorist financing, while also considering the Policy's implementation during the past 12 months, with a focus on improvement. To regularly keep the management updated regarding the effectiveness of the risk assessment policies, procedures, and guidelines, a quarterly meeting with the Compliance Officer is being conducted. Promise Gold Refinery endeavours to engage in or support, where appropriate, industry or other programmes on responsible supply chain management in developing its Risk Control Plans. We conduct Standard Due Diligence and Enhanced Due Diligence on all our counterparts, where we only review the documents provided by these customers, we conduct Re-Review of KYC on these customers on an annual base and bi annual bases. We conduct Ongoing monitoring of transaction only on high volume transactions under normal circumstance, however if a red flag is identified, the supplier all transactions is subjected to monitored for the next three months. All customers are subjected to Ongoing Screening review on My AML.Io to identify if there are potential risk associated with these customers in future in regards to Sancation concerns or any adverse media concerns. KYC is also collected on an annual Bases, we conduct site visit on All counterparts, we also conduct **Desk Research** on all our counterparties before they are onboarded. Our dedicated to maintaining a robust due diligence framework that adapts to evolving risks and ensures the integrity of our operations.

3.3 Senior Management Reporting	
COMPLIANCE STATEMENT	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
The identified risks in the Supply Chain and Risk Control Plan should be reported to a Regulated Entity's board of directors (or equivalent) and senior management on periodic basis (at least every 3 months). The report should include counterparties identified as high-risk and the respective Risk Control Plan.	**Risk Reporting to Senior Management:** We have submitted our compliance report to the management on annual bases as we were operational only during the last 6 months of the year in 2023. **Reporting Frequency:** • Due to our limited business activity in the past six months, we have only prepared an annual report. • We will begin providing quarterly reports to management starting from the next audit year.

Step 4: Independent Third-Party Audit of Due Diligence Measures	
COMPLIANCE STATEMENT	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
Regulated Entity's compliance with the Regulations will be subject to annual independent third-party audit by an accredited Reviewer as stipulated in the Review Protocol (ANNEX I). Review of a Regulated Entity's Supply Chain Due Diligence framework should be carried out by an approved Reviewer and should be arranged at the Regulated Entity's own cost. The recommendations in this section shall not be considered as an audit standard; however, they outline some basic principles, scope, criteria, and other basic information for consideration by entities.	Promise Gold Refinery FZC has engaged ISOQAR (INDIA) PVT. LTD to conduct an independent third-party review of our Supply Chain compliance against UAE Due Diligence Regulations for Responsible Sourcing of Gold. We understand the Minimum Requirements of the reviewers. We also confirm that: • **ISOQAR (INDIA) PVT. LTD** is Independent form Promise Gold Refinery • No conflict of Interest between **ISOQAR (INDIA) PVT. LTD** and Promise Gold Refinery. • **ISOQAR (INDIA) PVT. LTD** does not provide other service to Promise Gold Refinery FZC except for the UAE Due Diligence Regulations for Responsible Sourcing of Gold Review • **ISOQAR (INDIA) PVT. LTD** is approved reviewer of the UAE Due Diligence Regulations for Responsible Sourcing of Gold authorised by the Ministry of Economy. Sufficient preparation was provided by **ISOQAR (INDIA) PVT. LTD** and detailed audit plan is presented before the audit b) On site investigation will be conducted on **28 and 29 August 2024**. Complete access to the refining facility will be provided to **ISOQAR (INDIA) PVT. LTD** . **The list of suppliers will be provided to the Reviewers** • We will be open for consultation from the Reviewers. • We understand that the composition of the review will consist of audit conclusion, including the validation, reporting and recording of findings that determine level of conformity of the Licensed Member's supply

	chain due diligence with the UAE Due Diligence Regulations for Responsible Sourcing of Gold. • We welcome the recommendations of the reviewers that will help us improve our due diligence practices.

Step 5: Annual Reporting on Due Diligence Measures Regulated Entities should submit all audit reports stipulated under section 12 of ANNEX I to the MoE on annual basis. The Comprehensive Management Report issued by the Reviewer should consist of the following elements at a minimum	
COMPLIANCE STATEMENT	**FULLY COMPLIANT**
Demonstration of Compliance of the Rule	
5.1 Management Systems The Regulated Entities Comprehensive Management Report should include the management systems requirements as set out in Step 1 of the Regulations **a.** the Regulated Entity's management structure, roles and responsibilities with regard to Supply Chain Due Diligence; **b.** policy & procedures; **c.** KYC & information collection procedures; **d.** database & record keeping system; and **e.** procedures for identification and verification of all counterparties in the Supply Chain system. **5.2 Risk assessment** Regulated Entities should include in their Comprehensive Management Report the risk assessment procedures (Step 2). In particular, Regulated Entities should include: **a.** how the red flags are identified; **b.** details of the red flags identified; **c.** describe the steps taken to map the factual circumstances of those red flag operations and red flagged Supply Chains; **d.** methods of assessment teams including collaboration with other stakeholders in the Supply Chain; and **e.** actual or potential risks identified.	Promise Gold Refinery has implemented a policy to publicly report annually on its supply chain due diligence -compliance, in order to generate public confidence in the measures that we have implemented. Promise Gold Refinery shall submit all audit reports to MOE on an annual basis. We have provided all our AML-CFT Policy, Onboarding, Risk Mitigation Policy and supply chain policy to the auditor. We have shared our KYC Documents along with KYC of Suppliers and their account opening forms and declaration forms along with Standard due diligence form along with screening results and Site visit. We have shared a copy of the Red Flags that we are have shared along our internal team these red flags are derived from MoE Due Diligence Regulations for Responsible Sourcing of Gold and National Risk Assessment. We have shared our Business Risk Rating and Customer Risk Rating reports for our counterparts. Since we do not have any PEP's or Associated PEP's we have not shared the PEP Registry, however we have policy in Place to take appropriate actions if and when a PEP is Identified.
5.3 Risk Management Regulated Entities should include, in their Comprehensive Management Report, the risk management procedures (Step 3). In particular, Regulated Entities should include: **a.** the internal controls that would have assisted in gathering required information on red flagged Supply Chain; **b.** describe the steps taken to manage risks, including a risk strategy for risk mitigation,	We have shared our internal control that we have in place to our auditors, these controls are detailed in our Risk Management and Business Risk Assessment along with our customer risk assessment. All our counterparties are rated as Medium Risk Management.

procedures and mechanism in place to monitor remediation activities; and **c.** details of actions taken as part of risk mitigation (number of instances where a Regulated Entity has decided to continue, suspend or terminate relationships) without disclosing the identity of those suppliers, except where law allows to do so.	

MANAGEMENT CONCLUSION

RULES	PROMISE GOLD REFINERY SELF RATING
Rule 1 – Supply Chain Management Systems	☑ **Fully Compliant** ☐ Compliant with Low-Risk Deviations ☐ Non-compliant with Medium-Risk Deviations ☐ Non-compliant with High-Risk Deviations
Rule 2 – Supply Chain Risk Identification and Assessment	☑ **Fully Compliant** ☐ Compliant with Low-Risk Deviations ☐ Non-compliant with Medium-Risk Deviations ☐ Non-compliant with High-Risk Deviations
Rule 3 – Risk Control Plan	☑ **Fully Compliant** ☐ Compliant with Low-Risk Deviations ☐ Non-compliant with Medium-Risk Deviations ☐ Non-compliant with High-Risk Deviations
Rule 4 – Independent Third-Party Audits	☑ **Fully Compliant** ☐ Compliant with Low-Risk Deviations ☐ Non-compliant with Medium-Risk Deviations ☐ Non-compliant with High-Risk Deviations
Rule 5 – Annual Reporting on Responsible Supply Chain Due Diligence	☑ **Fully Compliant** ☐ Compliant with Low-Risk Deviations ☐ Non-compliant with Medium-Risk Deviations ☐ Non-compliant with High-Risk Deviations

Promise Gold Refinery 's Overall Conclusion:

Promise Gold Refinery objective is to create sustainable value for clients, investors, people, society, and other stakeholders, while operating in a culture of responsible sourcing, adhering to regulations, and demonstrating excellence in performance, innovation, governance, trust, and respect.

We have demonstrated that we have established and maintained a robust supply chain management system procedures, processes, and practices to achieve a responsible and conflict-free supply chain of gold and precious metals.

We are committed to continuous improvement, and any corrective actions identified will be monitored internally on a regular basis.

In conclusion, Promise Gold Refinery has fully complied with each of the rules in the UAE Due Diligence Regulations for Responsible Sourcing of Gold during the calendar year 2023 and the company is, thus, in total compliance with the UAE Due Diligence Regulations for Responsible Sourcing of Gold for the above-mentioned period.

OTHER REPORT COMMENTS

If users of this report wish to provide any feedback to Promise Gold Refinery FZC with respect to this report, they can contact the Compliance Department on compliance@promisegoldrefinery.com

27.August. 2024
Sharjah, United Arab Emirates

Vipin Raj Selvaraj
Managing Director-CEO
Promise Gold Refinery FZC

ISOQAR (India) Private Limited

Independent Reviewer's Assurance Report for Reasonable Assurance review As Per MOE Due Diligence Regulations for Responsible Sourcing of gold

PROMISE GOLD REFINER FZC FZC
600 m2, warehouse no Q30049, Saif zone, Sharjah.

Reporting period	01 Jan 2023 to 31 Dec 2023
Audit dates	29th to 31st August,2024
Report Date	4th September,2024

To,

The Board of Directors,

PROMISE GOLD REFINER FZC
Saif zone, Sharjah.

Independent Reviewer's report for Reasonable Assurance review as per M.O.E. Due Diligence Regulations for Responsible sourcing of gold

We were engaged by the Management of PROMISE GOLD REFINER FZC to provide a reasonable assurance on its Refiner's Compliance Report for the year ended 31 December 2023.

The assurance scope consists of the Refiner's Compliance Report (the Report). The report was issued as on 27th august,2024.

Responsibilities

The management of the Company is responsible for the preparation and presentation of the Refiner's Compliance Report in accordance with the **M.O.E. Due Diligence Regulations for Responsible sourcing of gold**. This responsibility includes establishing appropriate risk management and internal controls from which the reported information is derived. The criteria identified by the management as relevant for demonstrating compliance with the Guidance are the activities described within the Refiner's Compliance Report.

Our responsibility is to carry out a reasonable assurance engagement in order to express an opinion as to whether the Refiner's Compliance Report, in all material respects, describes fairly the activities undertaken during the year to demonstrate compliance, and that management's overall conclusion contained therein is in accordance with the requirements of the Guidance.

We conducted our engagement in accordance with the International Standard on Assurance Engagements ("ISAE") 3000 Assurance Engagements other than Audits or Reviews of Historical Financial Information issued by the International Auditing and Assurance Standards Board and ***M.O.E. Due Diligence Regulations for Responsible sourcing of gold***

Our work has been undertaken so that we report to PROMISE GOLD REFINER FZC on those matters that we have agreed to state to them in this report. Our tests are related to PROMISE GOLD REFINER FZC as a whole rather than performed to meet the needs of any particular customer.

Our report must not be recited or referred to in whole or in part in any other document nor made available, copied or recited to any other party, in any circumstances, without our express prior written permission. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the PROMISE GOLD REFINER FZC for our work.

Subject matter

This report covers the PROMISE GOLD REFINER FZC general level of compliance in accordance with the ***M.O.E. Due Diligence Regulations for Responsible sourcing of gold*** for market participants in the gold and precious metals industry as described in Refiner's Compliance Report, dated 27th August,2024.

Summary of assurance procedures

We planned and performed our work to obtain all evidence, information and explanations considered necessary in relation to the above scope. These procedures included:

- Enquiries of management to gain an understanding of PROMISE GOLD REFINER FZC's Gold Supply Chain Policy and Risk Management protocols. Questions about the Refinery's Compliance System were asked and required disclosures were obtained,
- Enquiries of relevant, responsible staff for the preparation of the Report and the required disclosures were obtained,
- Refining site visited. The complete Gold Supply Chain process observed, the required disclosures obtained and necessary audits and controls performed regarding the functionality of the system. it was observed that the refinery is producing according to domestic and international standards and certificates,
- Procedures, documents and information related to gold suppliers, buyers and other related parties were selected in order to assess if the Refinery has an effective compliance system. As a result of the assessments, it was seen that the Refinery has established an effective compliance system that is in accordance with M.O.E. Due Diligence Regulations for Responsible sourcing of gold.
- It was observed that the Refinery has established and put into force an effective management system regarding with the Refinery's Gold Supply Chain, which is in harmony with domestic and international standards. It was also observed that the Refinery has adopted appropriate internal control and intercommunication systems. The Refinery has formed a set of procedures and applications in order to identify risks in the supply chain. It was observed that the Refinery formed an appropriate "Know Your Client" (KYC) policy and "Risk Management Plan" within the context of KYC and is maintaining the system's operation.
- Above procedures have been evaluated in accordance to the interviews with the Management, Compliance team, Refinery workers / staff, Accounting and Internal Audit Managers and key personnel.

Scope based on Reasonable assurance:

The review procedures undertaken by us covered the following:

i. We have observed that PROMISE GOLD REFINER FZC has established a robust sustainable Supply Chain Management System. PROMISE GOLD REFINER FZC's Gold and Precious Metals Supply Chain Policy includes a scope, distributed responsibilities and has customer acceptance policy. They have also trained their staff regularly about the supply chain policy. PROMISE GOLD REFINER FZC has assigned a dedicated compliance officer.

ii. It is recommended that compliance officers to increase his knowledge about supply chain and needs to ensure internal more frequent trainings are conducted for increasing staff awareness about responsible sourcing of gold in accordance with MOE due diligence guideline.

iii. PROMISE GOLD REFINER FZCs Compliance Officer conducts all monitoring and applications of statutes related to adaptation. A Company Compliance Committee has been formed.

iv. All employed personnel engaged in gold and gold containing metal business within PROMISE GOLD REFINER FZC are responsible for meeting the requirements of corporate Gold Supply Chain Policy, informing on any problems or shortcomings within the shortest period, and carrying out appropriate corrective actions.

v. Moreover, all personnel have access to a grievance and whistleblowing which is currently circulated internally.

vi. Regulated Entity was informed to make available ethical sourcing and grievance handing procedure to be made available on the company's website (non-conformance has been issued in this regard).

Audit Observations:

A physical inspection and audit of KYC and transaction documents of Recycled gold has been conducted by us as follows:

- The refiner has only provided refining services to its 3 UAE bases suppliers / customers for scrap and fine gold received from them.
- The Regulated refiner has not conducted any Dore purchase transactions during the review period.
- The refinery did not buy any Scrap gold within the period 01 Jan – 31 Dec 2023
- No High Risk transactions has been reported during 01 Jan – 31 Dec 2023 which was

subject to audit;

- We audited all the 3 onboarded “Know Your Client” (KYC) files. We have audited 100 % of KYC of the scrap suppliers.
- The regulated refiner did not hade any Dore refining during the review period.
- We audited the transactions according to their geographical source and have covered transactions of the suppliers during the reporting period. Member has sourced from 3 scrap suppliers from UAE only and we have audited all the 40% transactions in number and 50 % in terms of volume during the reporting period.
- Approx. 75 % of the gold refining transactions are high purity gold(22kt an 23kt) received for refining from the supplier. Metal for rudimentary bar to tola bar and 10o gram 995 purity gold bars.
- No mined gold has been purchased or mined gold refining transactions has been reported by the regulated refiner.

vii. PROMISE GOLD REFINER FZC is able to identify and assess the risks in the supply chain. PROMISE GOLD REFINER FZC uses a strong management system to identify and assess the risks associated with gold and precious metals which they have processed during the calendar year.

PROMISE GOLD REFINER FZC conducts a risk assessment of each party of recycled gold and precious metals using a risk-based approach.

PROMISE GOLD REFINER FZC’s risk assessment methodologies have developed and improved, that adheres to MOE guidelines and incorporated

- ✓ Geographical risk
- ✓ Counterparty risk and
- ✓ Transactional risk factors
- ✓ Product risk
- ✓ Volume based risk

PROMISE GOLD REFINER FZC has developed a measured approach to calculate risk which allows it to classify suppliers’ risk levels consistently and respond adequately.

Due diligence and risk assessment for each new and existing customer start upon account opening and continuously monitored on every shipment and transaction basis. KYC (Know Your Client) documents, information, research, and transaction/shipment history that have been gathered and well-kept and recorded are used to calculate and measure risk level with the use of PROMISE GOLD REFINER FZC’s multiple step in the risk assessment process.

PROMISE GOLD REFINER FZC’s risk assessment includes all applicable criteria of geographical, product, transaction ,individual and volume bases , which is in line with ME

guidelines in identifying red flags according. The risk reviewed on following criteria

(a) Location-based

(b) Supplier-based, or

(c) Circumstances-based red flags.

Formulated Overall risk ranking Matrix includes risk factors - such as;

- Location of the Supplier's business
- Beneficial owner's nationality
- Country of origin/transportation of precious metal
- Number of Years in the Industry,
- Compliance Structure of the Company
- Other Businesses of the Beneficial Owner
- Politically Exposed Person (PEP)
- Adverse Media News
- Type of recycled Gold – scraped/ fine gold.

With this objective, PROMISE GOLD REFINER FZC has put into effect the Gold Supply Chain Policy and through sharing, achieves a common collective consciousness among all company personnel, clients, business partners and other concerned third parties. PROMISE GOLD REFINER FZC has implemented a Gold Supply Chain Risk Management Plan and conduct client relationships within the principles of Client Acceptance Policy.

viii. The following steps have been taken to mitigate any risk by Regulated Refiner.

- All customers are required to open an account with PROMISE GOLD REFINER FZC before doing any transaction. Account Opening procedure requires the submission of all necessary required documents that are required to perform the necessary due diligence.
- PROMISE GOLD REFINER FZC Risk assessment methodology has developed taking into consideration the geographical, counterparty, and transactional risk. The risk associated with the supply chain and transactions are continuously communicated to the Senior Management.
- It was verified during the audit that. the Senior Management are considering the view of the Compliance Officer before taking the final decision on whether to accept or reject the risk.
- CDD for EDD form is updated and signed off by Senior Management and Compliance Officer before accepting or rejecting new customer/supplier.

- Accountant will not be opened, and transactions will not be carried out without completing KYC procedure.
- PROMISE GOLD REFINER FZC has conducted the suppliers risk assessment, and risk ratings are recorded in the file. Customers are designated as – High, Medium or Low Risk, based on the risk profile of the client.
- During the review period no supplier has been rated as High Risk all 3 suppliers are rated as medium risk.
- Regulated refiners have policy and procedure of Due diligence requirements commensurate with the risk level associated with the client and enhanced due diligence will be necessary for all high-risk customers.
- Regulated Refiner has policy and procedure to review each and every consignment and carry out ongoing, proactive, and reactive due diligence in order to detect, avoid, and minimize risks that could have a negative effect on the business.
- Deviation has been observed in the case of transaction monitoring and supporting records to achieve compliance as per MoE expectation for ethical sourcing of gold
- As per Supply chain policy If the compliance officer believes the risk associated with a transaction is high at any point during the process, an investigation is conducted, and a management decision must be made. Policy is well defined as per MOE guideline, during our review we have not come across any Red flag or high risk reported in transaction monitoring records.
- We have verified that All shipments are kept physically segregated until the Compliance Officer approves and the Quality Check Officer passes the shipment. Refiner has identified the designated area for holding of consignments.

iv. The following steps have been taken by the regulated refiner to mitigate any risk.

a) The type of precious metals (such as mined gold, melted recyclable gold etc.) is taken into consideration while assessing the risk associated with a supplier and during the transaction monitoring.

b) The Refiner has established a Risk Matrix, which takes into consideration the form of precious metals, country of supply, residence of owner and AML compliance of supply chain partner etc.

c) With each shipment, the Supplier is required to provide a Customer Declaration Form (Statement of Conformation), which must include details about the Origin of Precious Metals, Purity, Weight, and Type of Gold, specifying whether it is Recyclable or Mined. We verified the same is sample transactions, the regulated refiner has maintained Transaction report for each transaction processed by them. **The reviewer has issued 1 improvement point for improving internal stock control and record**

maintenance.

d) In the case of mined metal, the Supplier is obliged to specify whether the metal originates from a Large Scale Mine, Medium Scale Mine or Artisanal and Small Scale Mine and provide essential mine details such as mine name, mine license number, mining site, and transport route.**(we could not verify the compliance to this point as regulated Refiner has not processed any mined gold during the review period.**

e) We have verified the procedure that during transaction monitoring If a Red Flag is identified, the shipment is put on hold and physically segregated till the matter is investigated by the Compliance Officer, and a final decision is made.

f) According to Supply chain policy of Regulated refiner, it does not accept and directly discontinue transactions with upstream suppliers which were identified as high-risk due to involvement and or participation in non-state armed groups through the extraction, transport, trade, handling, or export of minerals which includes, but is not limited to, procuring minerals from, making payments to or otherwise providing logistical assistance or equipment to, non-state armed groups or their affiliates who;

   a) Illegally control mine sites or otherwise control transportation routes, points where minerals are traded and upstream actors in the supply chain; and/or
   b) Illegally tax or extort money or minerals at points of access to mine sites, along transportation routes or at points where minerals are traded; and/or
   c) Illegally tax or extort intermediaries, export companies or international traders.

Point mentioned in "para- e & f " above, could not be verified against the policy as regulated refiner has not processed any Mined gold during the review period.

- PROMISE GOLD REFINER FZC does not engage in offering, promising, giving, or demanding bribes and resists the solicitation of bribes to conceal or disguise the origin of precious metals, or to misrepresent taxes, fees, and royalties paid to governments for the extraction, trade, handling, transport, and export of such materials.
- PROMISE GOLD REFINER FZC reports to the relevant authorities any Un-cooperative Suppliers and/or suspicious individual, entities, and transactions as soon as possible.
- If Red flag has been identified - it is mandatory to carry out additional and more in-depth due diligence procedures. Shipment will be put on hold till necessary information is provided. Temporary suspending trading activities with the specific supplier where a red flag has been identified.

- During the period no EDD has been reported, so we could not verify its compliance, however policy and procedures are in line with MOE guidelines for Ethical sourcing of Gold.

v) PROMISE GOLD REFINER FZC has detailed policy and procedure on Enhance Due diligence, however same is not verified as during reporting period no supplies from High Risk region, CAHRA region and none of the supplier has been reported High risk (no PEP identified, No supplier from high risk country and no negative screening identified in case of suppliers UBO search)

vi) During the reporting period, PROMISE GOLD REFINER FZC demonstrated its commitment to ensuring a robust and effective compliance department, and as such, took significant steps to enhance its capabilities.

One point of concern was raised in the case of competence of compliance officer and overall efficiency of compliance team. Considering dealing in only scrap gold current supply chain risk is medium, however it could be concern if mined gold supply chain is added, thus as a reviewer we have raise a nonconformance so that regulated refiner can take appropriate CAPA and improvement can be initiated.

Regulated refiner has provided training on ethical sourcing based on internal sources, however recommended to provide external training on regular intervals.

vii) To create a culture of responsible business conduct, PROMISE GOLD REFINER FZC aims to understand the requirements of the various stakeholders by constantly engaging with them and educating them on several aspects related to the business, product and services and compliance matters including supply chain. The company adopts a proactive approach to respond to the needs of the customers in a timely manner and promotes regular communication with them.

viii) PROMISE GOLD REFINER FZC supports all preventative measures, efforts and applications to obstruct contributing to conflict, Money Laundering, Terrorism Financing, or serious Human Rights abuses during the entire process covering mineral extraction, transportation, trade stages, including applications at points of passage to mining areas, export and taxation.

Independence and Competency Statement

In conducting our engagement, we have complied with the applicable requirements, and we confirm that we satisfy the criteria for assurance providers as set out in the Audit Guidance to carry out the assurance engagement.

Conclusion

In our opinion, in all material respects, the accompanying Refiner's Compliance Report dated 27th August,2024 for the period from 01 Jan to 31 Dec 23 and prepared by the Compliance officer of

PROMISE GOLD REFINERY (FZC), describes fairly the level of general compliance and management's overall conclusion contained therein is in accordance with the requirements of the M.O.E. Due Diligence Regulations for Responsible sourcing of gold.

The compliance controls that were tested, as set out in the attachment to these reports as a Anneure-1

In our opinion Regulated Refinery needs to improve its knowledge and skills for Ethical sourcing as per MOE And also efforts are required for improving the overall transaction recording.

We are herewith confirm that the Regulated Entity has provided sufficient information and records to issue a Reasonable Assurance level of compliance for sourcing of Gold with Medum Risk for the period 1st January 2023 to 31st December 2023.

Below are the reasons for our Opinion.

1. We have raised 2 nonconformance for Step-1 as per MOE Due Diligence

"The Regulated Entity has objectively demonstrated multiple inadequacies with regards to its compliance with Step 1 of the MoE Due Diligence Regulation for Responsible Sourcing of gold.".

Recommendation/ OFI(Opportunity for Improvement)	**Non-Conformance Description**
(1.1) We recommend using the ERP based tools for auto alerts for KYC and risk assessment and screening alerts as an improvement action. (1.3.10) • Records are maintained manually, same could be maintained electronically for easy access and retrieval. (1.5) • To adopt ERP software for risk assessment , online screening during each transaction and risk mitigation and risk status to be maintained in ERP. This will help regulated Refiner to have KYC, records and risk at one place and information/ analysis will be more accurate. • Further retention records for 5 years will be easy to comply.	**NC #1 (1.2.2)** **The compliance officer is not competent to handle the supply chain due diligence. Our findings are on following ground.** • Not having any related qualification and work experience in the field of compliance. • No formal external training has been attended by compliance officers. • Due diligence process has been implemented with the help of external consultant, however capability as a compliance team (internal is week), which need to be improved. • At present looking an local scrap refining risk is low however potential risk is high considering future business of mined gold and international exposure **NC# 02 (1.3.7)** **Regulated Refiner is lacking in maintaining internal controls and lack of detailed transaction records, which does not provide conformance of scrap metal processing** • XRF report for all transactions not maintained along with transaction records • Photograph or Video of Shipment weighing, to confirm weight and form of metal as rudimentary bar/ jewellery scrap is not been maintained

Assessment Conclusion	Compliance Status:	Non-Compliance
Based on the assessment conclusions, the overall rating of the Regulate Refiner performance is determined to represent	Compliant with the MoE Due Diligence Regulations for Responsible Sourcing of Gold – Medium Risk Deviation	2 Minor non conformance

ISOQAR INDIA Pvt Ltd

SUHAS SHRIRAM RISBOOD

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